

Asia Chart Alert

Global Markets Research

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Foreign Exchange - Asia ex-Japan

TACO risks are rising but unlikely imminent

Our TACO indicator has risen to 2.0 standard deviations, amid the renewed US and Iran attacks in the Middle East.

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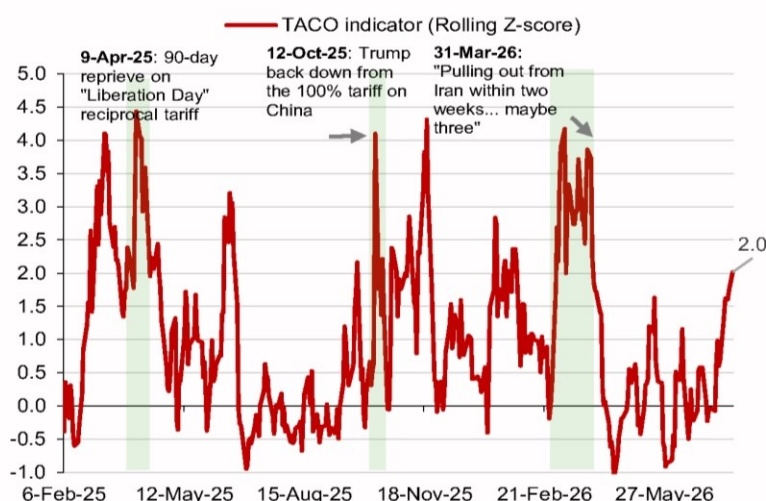
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Fig. 1: Our TACO indicator has risen since 6 July, to reach a recent high of 2.0 standard deviations (sd)



- Since 7 July the US and Iran have renewed mutual attacks in the Middle East, barely three weeks after they signed the ceasefire MOU on 17 June. Energy prices have risen steadily since the reported Iranian attack on a ship on 7 July (*Bloomberg*), which pushed Trump to declare that the MOU with Iran was over on 8 July (*Bloomberg*), with tit-for-tat attacks and the de facto closure of the Strait of Hormuz. Over the weekend, Iranian Deputy Foreign Minister Gharibabadi also said that the MOU had been effectively abandoned (*Bloomberg*, 18 July).
- Pressure on Trump to "TACO" is building as suggested by our TACO indicator, which has risen to 2.0sd today, from ~0sd on 6 July, driven mainly by rising oil and gas prices recently.
- However, the TACO risk is unlikely to be imminent. Trump has not backed down from his threat that Iran's power plants and bridges will be attacked "next week" (*Bloomberg*, 14 July). We estimate an immediate 10% rise in oil and gas prices will bring our indicator to ~3.2sd, ceteris paribus.

Source: Bloomberg, Nomura.

Appendix A-1

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